

Investment Readiness Checklist



Introduction

Being the founder of a startup can be overwhelming. Late nights, long planning sessions, new situations arising and constantly making sure you're not missing opportunities can get exhausting. We know because just like your startup, SuLe is a startup that was founded in early 2023. It was created because we noticed a recurring problem; startup founders rarely have the time, money or knowledge needed to get their legals in order. Great legal support is being gatekept and we're here to put an end to it. We aim to simplify the legal process, demystify jargon and empower founders from all walks of life because everyone deserves to receive great legal support without the stress of navigating complex legal intricacies alone.

This checklist is a great way to get a sense of where you're at in your journey and to check if you've missed anything crucial. And should you require even more help we've got great news. We're currently in the process of building our smart legal platform, designed for early-stage founders. Whether you're starting out, in the midst of fundraising or now scaling, our platform offers step-by-step guidance to help you navigate the legal landscape and ensure you're fully prepared for every stage of your startup journey. You can read more about our product offering at the end of this document, but for now we wish good luck on your founder journey.



Trisha Wing

CEO and Founder

SETTING UP YOUR COMPANY

STEP	GUIDANCE	COMPLETION
Register company with Companies House	You should incorporate your company with a high number of shares and a low nominal value. For example, each founder may incorporate the company with 100,000 ordinary shares of £0.0001 each. The high number of shares enables you to allot and issue shares to investors more easily (keeping the cap table tidy) and the low nominal value means you can easily pay up your shares by transferring cash to the company account (100,000 shares at £0.0001 is only £10 in nominal value, whereas 100,000 shares at £1.00 is £100,000). All founders should transfer cash to the company in respect of their shares. If you require additional shares at a later date, you can (by way of a shareholders' resolutions) subdivide the shares.	☐
Setting up statutory registers	This includes the registers of members, directors, secretaries, persons with significant control. It should also include the register of allotments and transfers. It is a legal requirement for every company to keep and maintain statutory registers. Statutory registers are different from your cap table (which is an unofficial representation of the company's shareholders).	☐
Share certificate(s)	This document is a legal requirement and serves as a proof of ownership. Share certificates identify the number of shares owned by each person or entity. Founders should have a share certificate in respect of their shares.	☐
Enter into a joint election under s.431 of the Income Tax (Earnings and Pensions) Act 2003	Founders invariably forget to do this and it comes up in due diligence on an exit. The joint election is entered into between the founder and the company and relates to acquiring shares as part of your employment (your founder shares can be considered employee related securities). The s.431 election may give you preferential tax treatment at a later date if you decide to sell some or all of your business.	☐
Register with HMRC for corporation tax	This is legally required within 3 months of trading to be set up or you could risk a penalty.	☐
Register with the ICO	It is a legal requirement for every company that handles personal data to register with the Information Commissioner's Office.	☐
Set up a bank account	This is not a legal requirement but is a step that most companies would be expected to take at this point.	☐

STEP	GUIDANCE	COMPLETION
Employers' liability insurance	You need this if you're going to employ people and is a legal requirement. Failure to be approximately insured is punishable by a fine calculated by reference to the number of days the company was uninsured. Be sure to take advice from a broker.	☐
Founders' Agreement	This is the company's first shareholders' agreement and includes details about the founder equity split. It's best practice to have this if (or when) you have a co-founder, this will be replaced when you enter into a shareholders' agreement.	☐
Terms and Conditions	T&Cs provide a legal framework that governs the relationship between the company and its customers or users. They protect the company's rights, limit liability, clarify expectations, and provide a means for resolving disputes.	☐
Privacy Policy	A privacy policy is required to comply with applicable data protection laws. It establishes trust and helps individuals make informed decisions about sharing their personal information with you. It is best practice to set this up at the early stages to prevent potential breaches.	☐
Trademarks	All companies should register their brand name and logo. Investors will usually ask whether this is protected or not.	☐
Register your intellectual property	If your company is IP rich, ensure your IP is also registered and protected to the extent it's capable of registration. This could include IP in your product or platform for example. You may need to take the appropriate legal advice. Whilst this may be an unwanted upfront cost, this is essential if the IP holds the majority of the company's value. Note that you may wait until you have raised funds if preferable. Most institutional investors will include a legal obligation in the investment documents to register the IP post-completion.	☐

PROTECTING YOUR COMPANY

STEP	GUIDANCE	COMPLETION
Advisor Agreement	This is the agreement you will need to engage your advisor, this may include equity or part-cash, part-equity payment. Cash payments (if possible) are better than equity. You should try to keep your cap table as clean as possible and equity can end up being much more valuable than the cost of the initial services. If you have to give equity, better to offer options instead of actual shares.	☐
Consultancy Agreement	Any person or company you hire as a consultant should enter into a consultancy agreement which outlines your expectations and payment.	☐
Individual Contractor Intellectual Property Assignment Agreement	This is commonly used for freelancers who may be managing your social media or creating your logo, to ensure your intellectual property rights are protected. It's important the company owns all IP.	☐
Company Contractor Intellectual Property Assignment Agreement	This is commonly used for companies who may be building your website or app, to ensure your intellectual property rights are protected. It's important the company owns all IP.	☐
Confidentiality Agreement (NDA)	It is best practice to get everyone that works with you, with your confidential information, to sign an NDA. Note that most VCs / angel investors tend to push back on this due to the number of companies they come across, so you should use it for everyone else.	☐
Advance Assurance (AA)	This is early confirmation from HMRC that a company will meet the requirements to get tax relief (S/EIS) which some investors will look for in order to invest in your company.	☐

GETTING READY FOR INVESTMENT

STEP	GUIDANCE	COMPLETION
Capitalisation table	Both a cap table and share register will show your startup’s share structure. A cap table assists with future forecasting and modelling, especially when speaking with investors. This is different from your share register which is a legal requirement to show your company’s current shareholders.	☐
Subscription Agreement or Investment Agreement	This is the agreement which details the terms and conditions of the investment into your company from investor(s). This is sometimes combined with the shareholders’ agreement as an “Subscription and Shareholders’ Agreement” although this is no longer industry standard.	☐
Shareholders’ Agreement	This is a legal contract that outlines the rights, responsibilities and obligations of the shareholders of the company. Shareholders will expect this document as it establishes clear rules and guidelines for the governance and operation of the company. This will replace your founders’ agreement.	☐
Articles of Association	Also known as the company’s constitution, the articles are the legal document that outlines the internal rules, regulations, and procedures for the management and operation of a company. The articles bind the company, all shareholders and officers.	☐
Board minutes to approve investment	This is required as part of the company’s corporate governance to keep a record of the directors’ decision making when raising investment.	☐
Shareholder resolution to approve share allotment and removal of pre-emption	This is required as an authorisation from the shareholders of the company as part of your company’s corporate governance when raising investment. The shareholders’ agreement bind the company and the shareholders party to it (which doesn’t have to be all the shareholders).	☐
Disclosure Letter	As part of the investment the company (and less commonly the founders) will agree to give certain warranties (promises) about your business. The company will be liable for a breach of warranty, unless the matter giving rise to the breach was disclosed in this letter. The disclosure letter is your ‘get out of jail free card’ and enables you to be let the investor know more about your business activities. Be as honest and as detailed as possible. It’s no longer market standard for founders to give warranties. Whilst some investors may request this, you should resist giving them initially.	☐

STEP	GUIDANCE	COMPLETION
Founder Intellectual Property Assignment Agreement	Investors will request that all founders assign their intellectual property rights, usually as a condition to closing, but if not, it's best practice to have.	☐
Key Employees Intellectual Property Assignment Agreement	Investors will request that all key employees assign their intellectual property rights, whether as part of an employment agreement or separately, this will usually be as a condition to closing.	☐
Founder Service Agreement	Investors will expect founders to have a separate employment agreement from the other employees, usually as a condition to closing. This is to protect the interests of the company.	☐

Congratulations

You've now got the key documents, approvals and information to be investment ready. And if you feel like you still need hand we're here to help. For a limited time, we're offering free legal consultations, where we'll review your startup's legal health and provide you with a thorough legal health check. Following that, we offer highly discounted expert support, also available for a limited time. Check out our website for the latest on our product release and stay up-to-date on our progress. As one of the early adopters, you'll have the opportunity to be among the first beta users of SuLe, completely free of charge.

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